

POLICY 1 - CAPITAL EQUIPMENT REPLACEMENT AND PURCHASE

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Applies to: production machine tools and workshop equipment at Unit 7.

1. REPLACEMENT CRITERIA

- 1.1 A machine qualifies for replacement when it is more than 20 years old.
- 1.2 A machine also qualifies when its repair cost over 12 months exceeds 30% of replacement cost.
- 1.3 Replacement machines shall have motors of efficiency class IE3 or better.

2. QUOTATIONS

- 2.1 One quotation is sufficient for purchases up to INR 5 lakh.
- 2.2 Two quotations are required for purchases above INR 5 lakh and up to INR 10 lakh.
- 2.3 Three quotations are required for purchases above INR 10 lakh.

3. APPROVAL

- 3.1 Purchases above INR 10 lakh require the approval of the Plant Head.

4. VENDORS

- 4.1 Vendors shall provide a warranty of at least one year.
- 4.2 Vendors shall have a service centre within 200 km of the plant.